

# LABOUR MARKET

## Section A

Duration of each question is **40 mins**.

- 1** With the help of a diagram, assess whether imperfect labour markets will always lead to lower wages and higher unemployment. [20]

- 2** Wages in a perfectly competitive labour market will always be higher than wages in a monopsony labour market.

With the help of a diagram, evaluate this statement. [20]

- 3** The introduction of a trade union into a perfectly competitive labour market will always lead to higher wage levels and a higher level of unemployment.

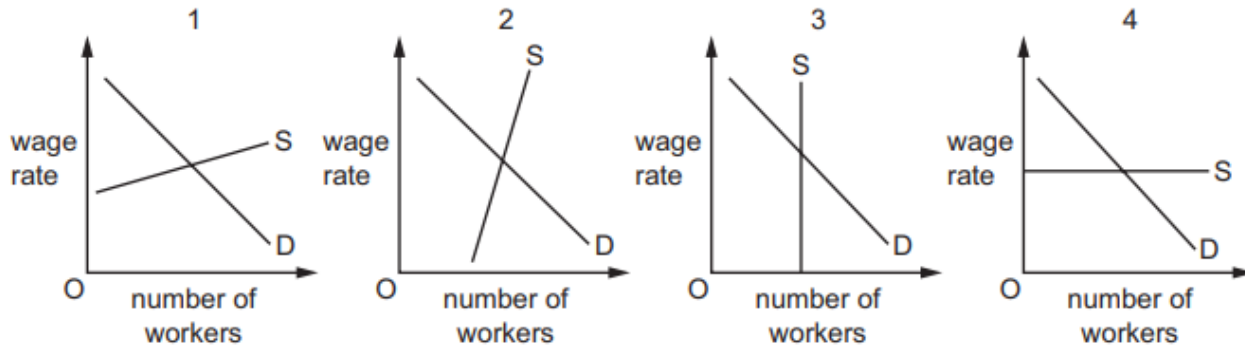
With the help of a diagram, evaluate this statement. [20]

## Section B

Answer **all** questions

**Duration 1hr 15mins**

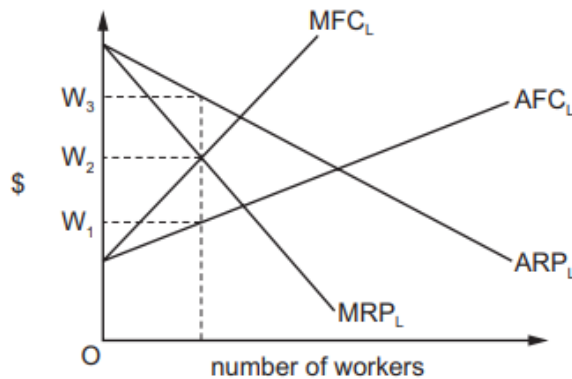
1. The diagrams show the demand for and supply of labour in four markets.



In which markets would labour's transfer earnings exceed its economic rent?

- A** 1 and 2      **B** 1 and 4      **C** 2 and 3      **D** 3 and 4
2. In the diagram, the  $ARP_L$  curve is the average revenue product curve of labour of a profit-maximising monopsonist and the  $MRP_L$  is the marginal revenue product of labour curve.

The curves  $AFC_L$  and  $MFC_L$  are the firm's average and marginal factor cost curves.



What is a likely outcome if a trade union negotiated a different wage from the original market wage?

|          | original market wage | possible range of new wage | effect on employment |
|----------|----------------------|----------------------------|----------------------|
| <b>A</b> | $W_1$                | $W_1 - W_2$                | increase             |
| <b>B</b> | $W_1$                | $W_2 - W_3$                | increase             |
| <b>C</b> | $W_2$                | $W_2 - W_3$                | decrease             |
| <b>D</b> | $W_3$                | $W_1 - W_3$                | decrease             |

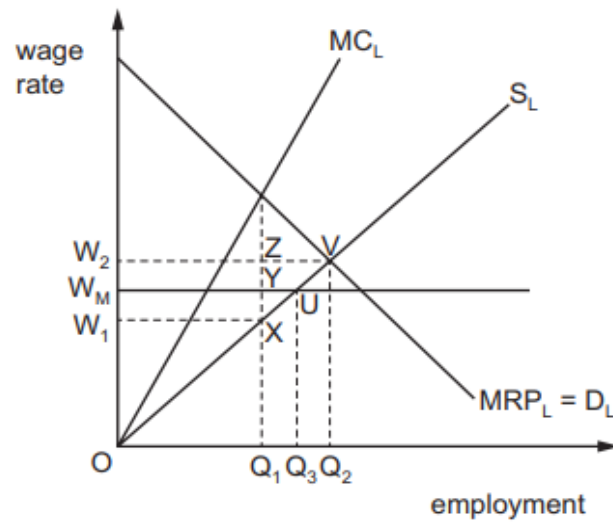
3. What would be likely to reduce the mobility of labour between a depressed and a prosperous region of a country?
- A** a developed market in rented accommodation in the prosperous region
  - B** a high rate of job turnover in the prosperous region
  - C** the setting of wages at a national level
  - D** the withdrawal of a statutory minimum wage

4. In the UK in 2015 the average wage was £26 500 a year. At the same time, certain footballers were earning more than £150 000 a week.

Which aspect of the theory of wage determination is most likely to explain this wage differential?

- A** aggressive wage bargaining by the professional footballers' trade union
  - B** the inclusion in wages of an element of economic rent
  - C** the monopsony structure of the market for professional footballers
  - D** the theory of net advantages
5. What is defined as 'the payment made to a factor of production over and above that necessary to keep the factor in its present use'?
- A** economic rent
  - B** normal profit
  - C** opportunity cost
  - D** transfer earnings

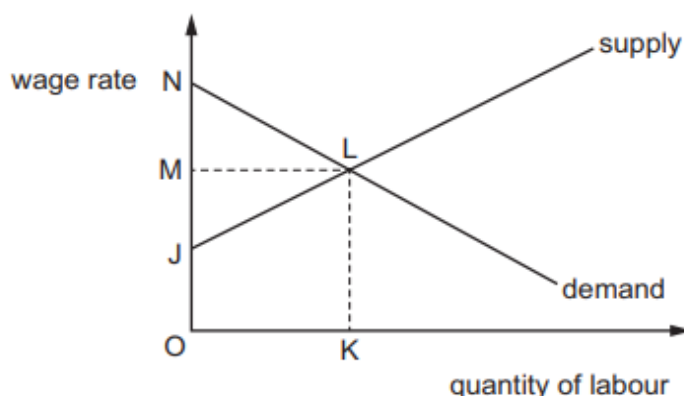
6. The diagram shows the effect of the introduction of a national minimum wage,  $W_M$ , in an occupation where workers are employed by a profit-maximising monopsonist.



What happened to total wages received by the workers in the occupation?

- A decrease from  $OW_2VQ_2$  to  $OW_MUQ_3$
- B decrease from  $OW_2ZQ_1$  to  $OW_MUQ_3$
- C increase from  $OW_1XQ_1$  to  $OW_MYQ_1$
- D increase from  $OW_1XQ_1$  to  $OW_MUQ_3$

7. The diagram shows the supply and demand situation in a particular labour market.



When the market is in equilibrium, which areas measure the economic rent and transfer earnings received by employees?

|          | economic rent | transfer earnings |
|----------|---------------|-------------------|
| <b>A</b> | JLN           | OKLJ              |
| <b>B</b> | JML           | OKLJ              |
| <b>C</b> | NML           | OKLM              |
| <b>D</b> | OKLM          | NML               |

8. In 2015 a company drilling for oil wished to reduce its workforce because of a fall in the price of oil. The workers' trade union opposed the proposal.

Which situation would have helped the trade union in the negotiations?

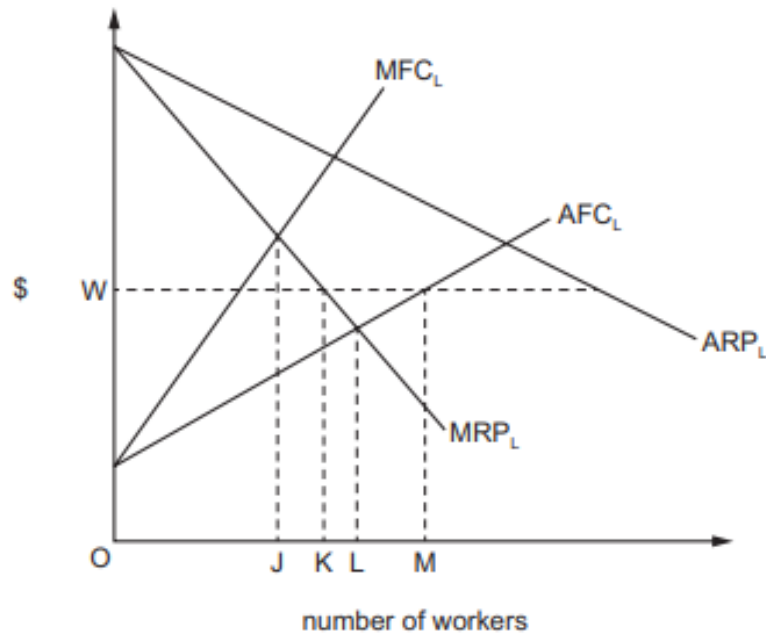
- A** Capital and labour were close substitutes.
  - B** The cost of labour had been a small percentage of total cost.
  - C** The demand for oil had been price inelastic.
  - D** There had been a large supply of labour.
9. A shopkeeper earns \$75 per week, but he would be willing to carry on working in his shop for up to \$25 per week less. Therefore, \$50 is his level of
- A** marginal revenue product.
  - B** producer's surplus.
  - C** economic rent.
  - D** transfer earnings.

10. What represents the transfer earnings of the factor enterprise?
- A excess profit
  - B normal profit
  - C return on capital
  - D start-up costs
11. A backward-sloping supply curve of labour is one where, beyond a certain point, the supply of labour
- A decreases as the demand for labour rises.
  - B increases as the demand for labour rises.
  - C decreases as wages rise.
  - D increases as wages rise.
12. Labour is the only variable factor of a profit-maximising firm which is a price taker in the labour market.
- From what is the firm's demand curve for labour derived?
- A its marginal factor cost curve
  - B its marginal revenue curve
  - C its marginal revenue product of labour curve
  - D its short-run marginal cost curve
13. A firm faces a downward-sloping demand for its product.
- Assuming that labour is its only variable factor input, how does the firm derive its demand curve for labour?
- A from the current price of output and the money wage rate of labour
  - B from the marginal factor cost of labour
  - C from the schedules of the marginal physical product of labour and of marginal revenue
  - D from the schedules of the marginal physical product of labour and the money wage rate

14. In the diagram, the  $ARP_L$  curve is the average revenue product of labour curve of a profit-maximising monopsony and the  $MRP_L$  curve is its marginal revenue product of labour curve.

The firm pays its workers the minimum wage,  $OW$ , set by the country's government.

The curves  $AFC_L$  and  $MFC_L$  show what the firm's average and marginal factor cost curves would be in the absence of government intervention.



What will happen to the number of workers employed by the firm if the minimum wage is abolished?

- A It will decrease by JK.
- B It will decrease by KM.
- C It will increase by JK.
- D It will increase by JL.

15. An actor is paid \$100 000 a year. The next best paid job he could get is as a lecturer at \$60 000 a year.

What are his transfer earnings and his economic rent?

|          | transfer earnings | economic rent |
|----------|-------------------|---------------|
| <b>A</b> | \$60 000          | \$40 000      |
| <b>B</b> | \$60 000          | zero          |
| <b>C</b> | \$40 000          | \$60 000      |
| <b>D</b> | \$40 000          | zero          |

16. A teacher currently earns \$30 000 but would be willing to continue to do the job provided she earned at least \$25 000. She prefers to stay in her teaching job than change to her next best alternative employment as an accountant where she could earn \$40 000.

Which statement is correct?

- A** Her economic rent as a teacher is \$5000.
- B** Her economic rent as an accountant is \$10 000.
- C** Her transfer earnings as a teacher are \$30 000.
- D** Her transfer earnings as an accountant are \$15 000.
17. What will increase the power of a trade union, allowing it to increase wages without reducing the employment of its members in a particular industry?
- A** The economy is experiencing a fall in the price of capital.
- B** The economy is experiencing rising employment.
- C** The price elasticity of demand for the industry's goods is equal to 1.
- D** The price elasticity of demand for the industry's goods is greater than 1.

18 An engineer is paid \$100 000 a year.

The next best paid job she could get is as a teacher at \$60 000 a year.

What are her transfer earnings and her economic rent?

|          | transfer earnings<br>\$ | economic rent<br>\$ |
|----------|-------------------------|---------------------|
| <b>A</b> | 60 000                  | zero                |
| <b>B</b> | 60 000                  | 40 000              |
| <b>C</b> | 100 000                 | zero                |
| <b>D</b> | 100 000                 | 40 000              |

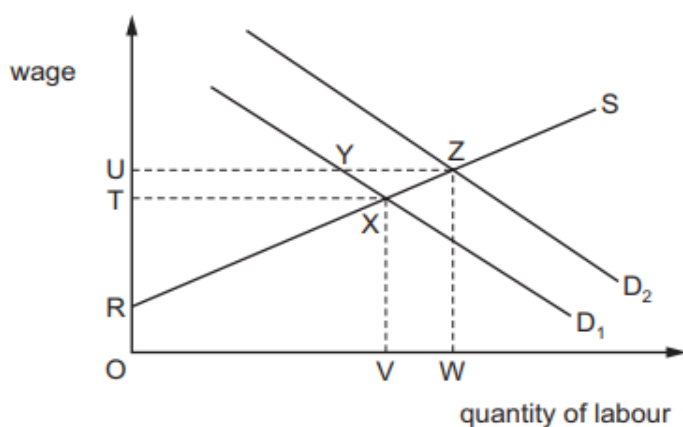
19. What will necessarily cause the supply curve of labour in a particular industry to shift to the right?

- A** a fall in wages paid in similar occupations
- B** a greater use of machinery
- C** an increase in demand for the product
- D** a strengthening of trade union influence in the industry

20. What would cause a rise in the productivity of labour?

- A** an increase in indirect taxes
- B** an increase in the quality of capital
- C** a rise in consumer surplus
- D** a rise in the elasticity of supply of labour

21. In the diagram  $D_1$  and  $S$  are the initial demand and supply curves for building workers.



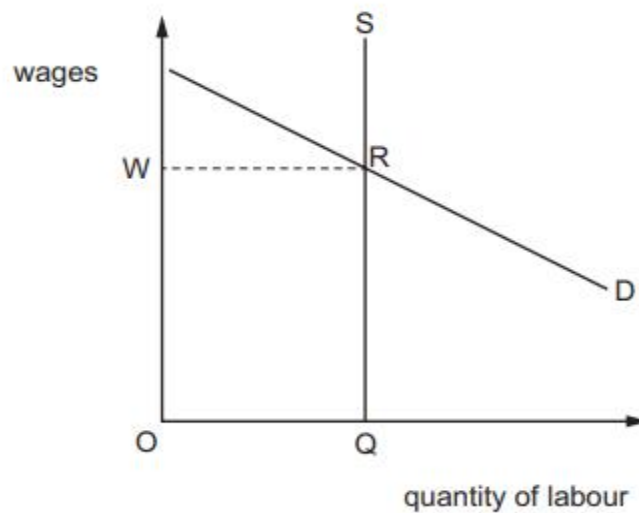
If the demand for building workers increases to  $D_2$  by how much does the economic rent earned by building workers rise?

- A** RUZ      **B** TUZX      **C** VXZW      **D** XYZ
22. The government imposes a maximum wage limit on recording artists.

What must result in the short-run if the measure is effective?

- A** a decrease in the demand for recording artists  
**B** a decrease in the economic rent earned by recording artists  
**C** a decrease in the profits of record companies  
**D** a decrease in the supply of recording artists

23. The diagram shows the market for labour in an industry in the short-run.



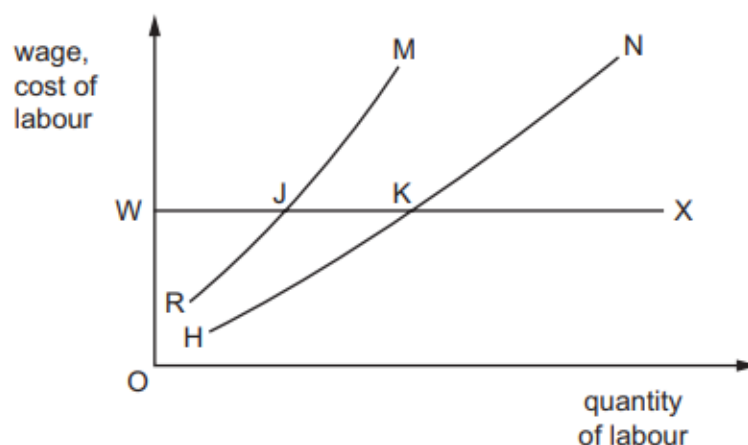
What does the area OWRQ represent?

- A** consumers' surplus
  - B** economic rent
  - C** the opportunity cost of labour
  - D** transfer earnings
24. A country introduces a national minimum wage (NMW) of \$10 per hour.

In which industry is the NMW likely to cause the most unemployment?

|          | equilibrium wage rate<br>before NMW (\$ per hour) | wage elasticity of<br>demand for labour | wage elasticity of<br>supply of labour |
|----------|---------------------------------------------------|-----------------------------------------|----------------------------------------|
| <b>A</b> | 8                                                 | $>1$                                    | $>1$                                   |
| <b>B</b> | 8                                                 | $<1$                                    | $<1$                                   |
| <b>C</b> | 9                                                 | $>1$                                    | $>1$                                   |
| <b>D</b> | 10                                                | $>1$                                    | $>1$                                   |

25. What would result in a reduction in labour costs per unit of output?
- A** an increase in average earnings which is less than the increase in employment
  - B** an increase in labour productivity which is less than the increase in average earnings
  - C** an increase in output which is greater than the increase in labour earnings
  - D** an increase in wage rates which is greater than the increase in output per worker
26. How is marginal revenue product calculated?
- A** marginal physical product  $\times$  marginal revenue
  - B** marginal physical product  $\div$  price
  - C** total physical product  $\times$  marginal cost
  - D** total physical product  $\div$  marginal cost
27. In the diagram, HN is the initial supply of labour curve faced by a firm, and RM is its initial marginal cost of labour curve.



What will be the firm's new labour supply curve if the workers join a trade union and achieve a union negotiated wage, OW?

- A** RJX
- B** HKX
- C** WJM
- D** WKN

28. Output per worker in an industry increases more slowly than the industry's total output.

What could explain this?

- A a decrease in labour productivity
- B an increase in employment
- C an increase in overtime working
- D an increase in the hourly wage rate

29. What will cause the supply curve of labour in a particular industry to shift to the left?

- A a fall in demand for the industry's product
- B a greater use of machinery in the production of the industry's output
- C a rise in wages paid in similar occupations in other industries
- D a weakening of trade union influence in the industry

30. A government is worried about the increasing monopsony power of employers in the wage bargaining process.

Which policy combination is **most** likely to improve the wages and employment prospects of workers?

|   | trade union powers | immigration controls | national minimum wage |
|---|--------------------|----------------------|-----------------------|
| A | strengthen         | relax                | cut                   |
| B | strengthen         | strengthen           | raise                 |
| C | weaken             | relax                | cut                   |
| D | weaken             | strengthen           | raise                 |

# LABOUR MARKET (MARKING SCHEME)

| Question      | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Marks |
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| <b>EITHER</b> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |       |
| 1             | <p><b>With the help of a diagram, assess whether imperfect labour markets will always lead to lower wages and higher unemployment.</b></p> <p>Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question.</p> <p>AO1 and AO2 out of 14 marks.<br/>AO3 out of 6 marks.</p> <p><b>Indicative content</b></p> <p>Responses may include:</p> <p><b>AO1 Knowledge and understanding and AO2 Analysis</b></p> <ul style="list-style-type: none"> <li>• A perfect labour market would assume homogenous labour, perfect mobility, identical jobs, many buyers and sellers of labour and perfect information. This would mean that each firm's supply of labour would be perfectly elastic and a wage taker.</li> <li>• In perfect labour markets the wage that has to be taken by each firm will be determined by the interaction of supply and demand in the industry.</li> <li>• Imperfect labour markets might occur due to the intervention of trade unions or government. A monopsony, single buyer of labour would also lead to market failure.</li> <li>• Market failure associated with imperfect markets will often result in lower wages and/or higher levels of unemployment.</li> <li>• Intervention by trade unions by controlling the supply of labour might lead to higher wages but this is likely to cause higher levels of unemployment. A diagram that illustrates supply of and demand for labour showing a decrease in supply will illustrate this potential outcome.</li> <li>• A government might impose a minimum wage above the market equilibrium wage which would also result in higher wages but would be accompanied by higher levels of unemployment. This analysis would be supported by an accurate, clearly labelled diagram plus an explanation.</li> <li>• A monopsony firm would employ labour where the marginal cost of labour was equal to the marginal revenue product of labour. This would potentially lead to both lower wages and higher levels of unemployment. An accurately labelled diagram plus an explanation would support this conclusion.</li> </ul> <p><b>AO3 Evaluation</b></p> <ul style="list-style-type: none"> <li>• In some circumstance it is possible for trade unions to increase labour productivity through increased training. This would increase the demand for labour by increasing the marginal productivity of labour which would enable both higher wages and higher levels of employment to be attained. This can be illustrated by a supporting diagram and further explanation.</li> </ul> | 20    |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Marks |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| 1        | <ul style="list-style-type: none"> <li>The negative impact of imposing a minimum wage on the level of employment will depend upon the relative elasticities of the demand for and supply of labour. If the demand and supply are relatively inelastic then it would be possible to introduce a relatively high minimum wage which will not have a significant impact on the level of employment.</li> <li>It is possible for trade unions to intervene in monopsonistic markets and undertake bilateral wage negotiations. Depending on the respective bargaining strengths of the union and monopsony, it might be possible for collective bargaining to raise both wages and employment. A supporting diagram plus an explanation would illustrate this potential outcome.</li> <li>In some circumstances a government might need to intervene to maintain the provision of vital public services as a priority, if trade unions attempt to increase wages through the withdrawal of labour.</li> <li>In conclusion it is possible to show that imperfect labour markets do not always lead to lower wages and a higher level of unemployment. Trade unions, through the power of collective bargaining, can counteract the negative effects of monopsony labour markets. Also trade unions can train labour to increase labour productivity to enable an increase in wages at the same time that employment levels are rising.</li> </ul> <p>Accept all valid responses.</p> |       |
|          | AO1 Knowledge and understanding and AO2 Analysis                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 14    |
|          | AO3 Evaluation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 6     |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Marks |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| OR       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |
| 2        | <p><b>Wages in a perfectly competitive labour market will always be higher than wages in a monopsony labour market.</b></p> <p><b>With the help of a diagram evaluate this statement.</b></p> <p>Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question.</p> <p>AO1 and AO2 out of 14 marks. AO3 out of 6 marks.</p> <p><b>Indicative content</b></p> <p>Responses may include:</p> <p><b>AO1 Knowledge and understanding and AO2 Analysis</b></p> <ul style="list-style-type: none"> <li>• Characteristics of a perfectly competitive labour market should be described. This should be supported by a relevant diagram.</li> <li>• An explanation of how monopsony markets work should be provided, emphasising the importance of how wages are determined in this type of market.</li> <li>• A diagram should be provided which shows a monopsony labour market and used to show how wages and level of employment are determined.</li> <li>• Analysis should refer to the factors which affect both the supply of and demand for labour in both these types of labour market.</li> </ul> <p><b>Note: L2 max if no or incorrect diagram provided.</b></p> | 20    |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Marks |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| 2        | <p><b>AO3 Evaluation</b></p> <ul style="list-style-type: none"> <li>Evaluation should then be used to link external factors which might affect final wage levels in both markets. For example, Trades Union or government intervention.</li> </ul> <p>In some cases, the intervention of Trades Union might lead to an increase in the productivity of the workforce through the provision of better training. This would support that wages would be higher in a perfectly competitive labour market.</p> <ul style="list-style-type: none"> <li>Although a monopsony labour market model would predict lower wages due to buyer power on the part of monopsony firms, other factors will still determine the extent to which monopsony market wages will remain low. For example, the ease with which capital can be substituted for labour.</li> <li>Also, the existing proportion of capital to labour in the particular industry will influence the extent to which wages might rise in either market.</li> <li>Accusations of labour exploitation might lead to government intervention in a monopsony labour market. A minimum wage might be fixed that it is higher than wages gained in a perfectly competitive labour market.</li> <li>Trades Unions might also intervene in monopsony markets and enable workers to gain higher wages through collective bargaining.</li> <li>Higher wages might not be sustainable in the long run in perfectly competitive markets, due to increases in the supply of labour responding to the opportunity to gain higher wages.</li> <li>A conclusion should attempt to address each element of the statement. The key word 'always' should be considered in the light of the question preceding argument.</li> </ul> <p>Accept all valid responses</p> |       |
|          | AO1 Knowledge and understanding and AO2 Analysis                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 14    |
|          | AO3 Evaluation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 6     |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Marks |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| OR       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |       |
| 3        | <p><b>The introduction of a trade union into a perfectly competitive labour market will always lead to higher wage levels and a higher level of unemployment.</b></p> <p><b>With the help of a diagram, evaluate this statement.</b></p> <p>Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question.</p> <p>AO1 and AO2 out of 14 marks. AO3 out of 6 marks.</p> <p><b>Indicative content</b></p> <p>Responses may include:</p> <p><b>AO1 Knowledge and understanding and AO2 Analysis</b></p> <ul style="list-style-type: none"> <li>• Characteristics of a perfectly competitive labour market should be described.</li> <li>• The role and main aims of a trade union should be outlined, emphasising the importance of their role in wage bargaining.</li> <li>• A diagram should be provided which shows how wages are determined in a perfectly competitive labour market and how this impacts upon the wage and level of employment within each firm.</li> <li>• Analysis should discuss alternative ways in which a trade union might affect wages and employment. References might be made to factors which affect both the supply of and demand for labour.</li> <li>• Analysis should then be used to determine the extent to which the intervention of a trade union can influence wage and employment levels in a perfectly competitive labour market.</li> </ul> <p>L2 maximum if no accurate diagram provided.</p> | 20    |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Marks |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| 3        | <b>AO3 Evaluation</b> <ul style="list-style-type: none"> <li>• In some cases, the introduction of trade unions might lead to an increase in the productivity of the workforce through the provision of better training. Although an increase in productivity might also be produced by substituting capital for labour which might lead to an increase in unemployment.</li> <li>• Trade unions might gain higher wages for labour but because this makes capital relatively cheaper, machines might be substituted for labour which will further reduce employment.</li> <li>• The impact of higher wages on employment will also depend upon how easy it is to substitute capital for labour and the existing proportion of capital to labour in the particular industry.</li> <li>• If trade unions manage to bargain for higher wages but the new wage is above the market equilibrium, there will be an excess supply of labour at the new wage leading to higher unemployment. The extent of this impact will be determined by the relative elasticities of supply of and demand for labour</li> <li>• A conclusion should attempt to address each element of the statement. The key word 'always' should be considered in the light of the preceding argument.</li> </ul> <p>Accept all valid responses.</p> |       |
|          | AO1 Knowledge and understanding and AO2 Analysis                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 14    |
|          | AO3 Evaluation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 6     |

# LABOUR MARKET

## A LEVEL

### ECONOMICS P3

|           |          |           |          |           |          |
|-----------|----------|-----------|----------|-----------|----------|
| <b>1</b>  | <b>B</b> | <b>11</b> | <b>C</b> | <b>21</b> | <b>B</b> |
| <b>2</b>  | <b>A</b> | <b>12</b> | <b>C</b> | <b>22</b> | <b>B</b> |
| <b>3</b>  | <b>C</b> | <b>13</b> | <b>C</b> | <b>23</b> | <b>B</b> |
| <b>4</b>  | <b>B</b> | <b>14</b> | <b>A</b> | <b>24</b> | <b>A</b> |
| <b>5</b>  | <b>A</b> | <b>15</b> | <b>A</b> | <b>25</b> | <b>C</b> |
| <b>6</b>  | <b>D</b> | <b>16</b> | <b>A</b> | <b>26</b> | <b>A</b> |
| <b>7</b>  | <b>B</b> | <b>17</b> | <b>B</b> | <b>27</b> | <b>D</b> |
| <b>8</b>  | <b>B</b> | <b>18</b> | <b>B</b> | <b>28</b> | <b>B</b> |
| <b>9</b>  | <b>D</b> | <b>19</b> | <b>A</b> | <b>29</b> | <b>C</b> |
| <b>10</b> | <b>B</b> | <b>20</b> | <b>B</b> | <b>30</b> | <b>B</b> |